



“The Value Networking Company”

***KT* Investor Presentation**

February 2005

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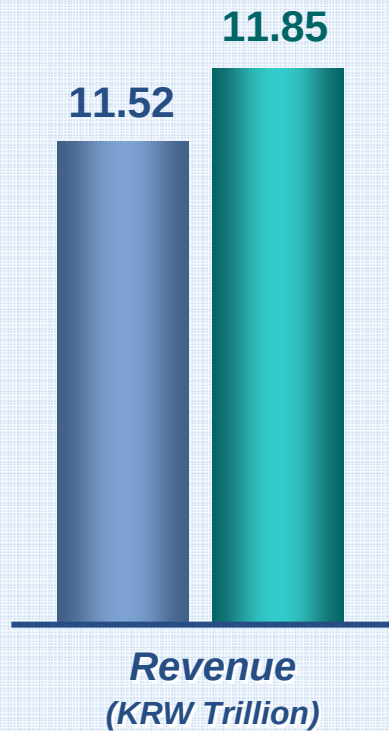
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I. Major achievements since privatization

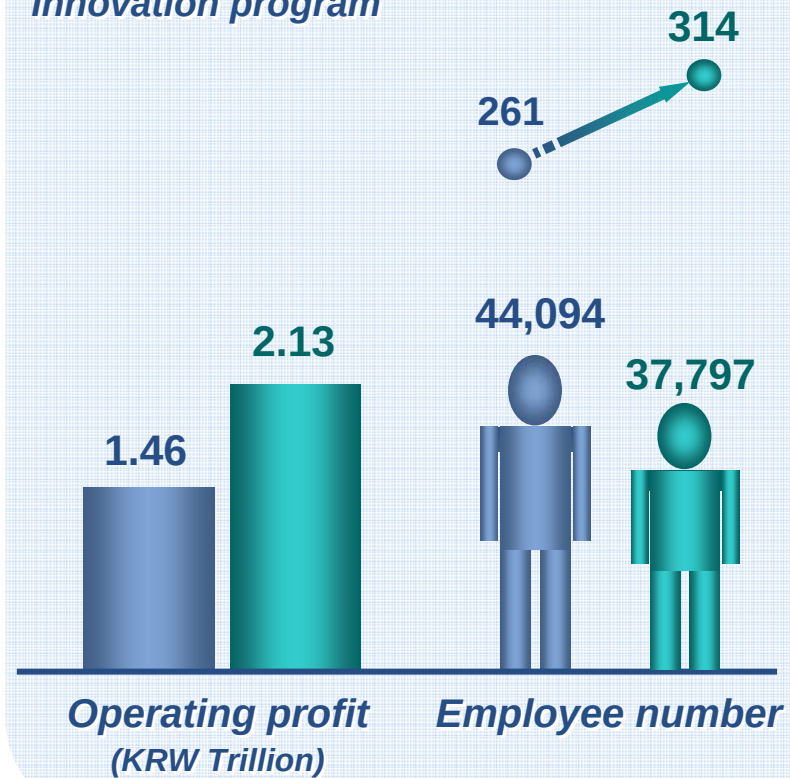
*“ Successful response
to competition ”*



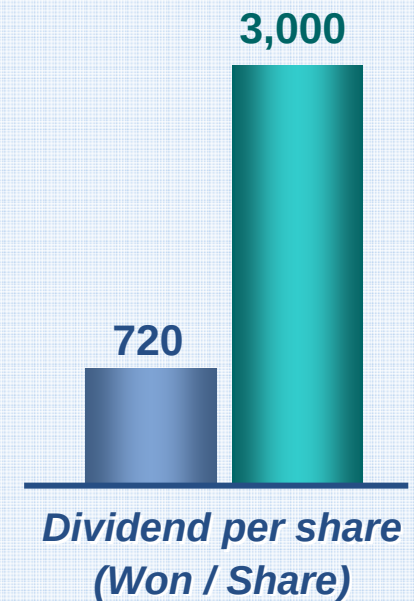
“Strengthened efficiency”

Six Sigma
Management
Innovation program

Restructuring

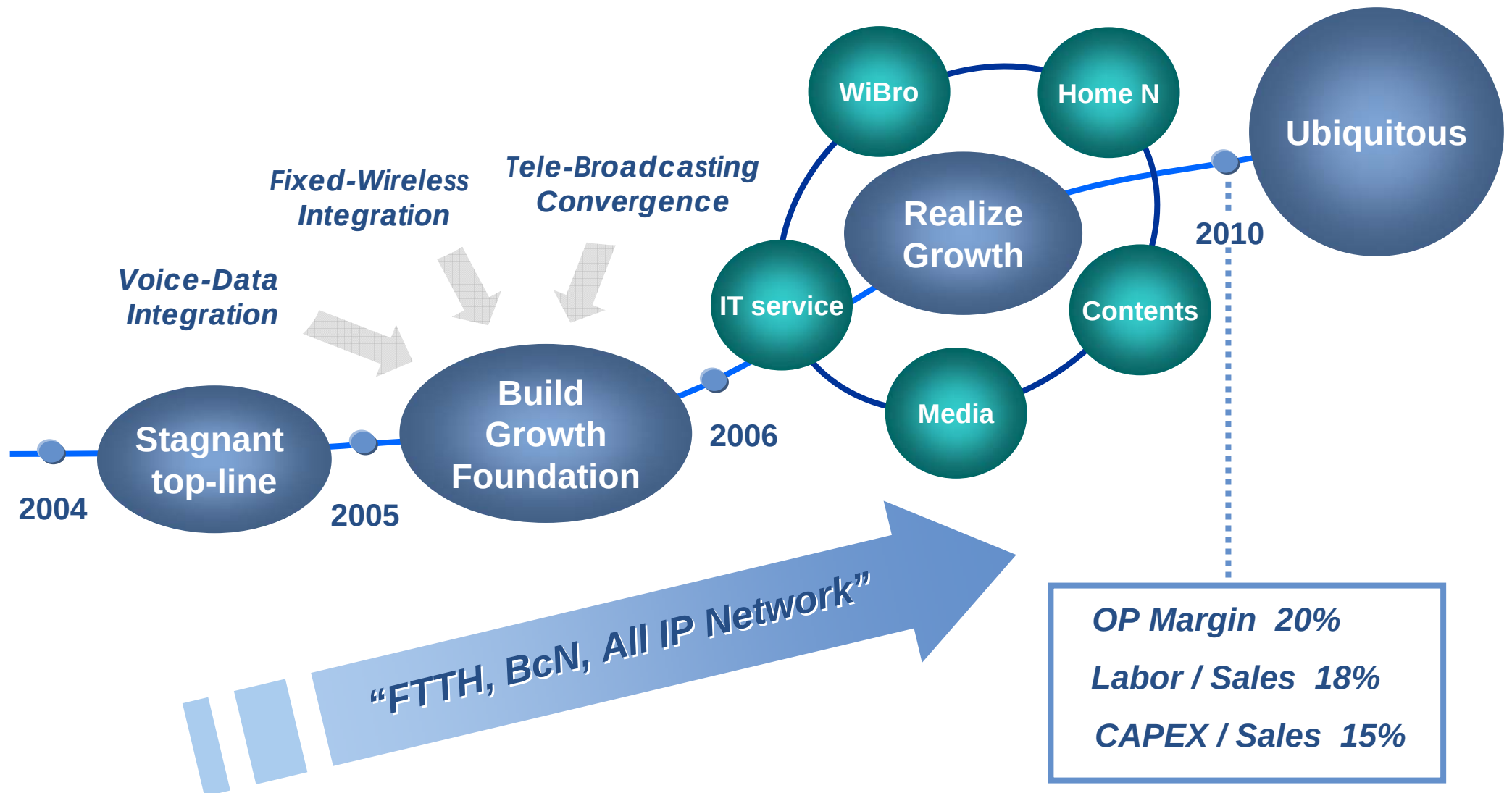


*“ Established
solid shareholder
return policy”*



■ 2001 ■ 2004 ● → ● Revenue per employee (KRW million)

II. Vision 2010



III. Management focus in 2005

- 1. Increase subscriber base for WiBro service*
- 2. Minimize fixed-line revenue decline*
- 3. Invest for future growth*
- 4. 2005 Key targets*
- 5. Solid shareholder return*

“ Establishing a solid base for future growth ”

III-1. Increase subscriber base for WiBro service

Broadband 2005

- **Subscribers : 6.07m → 6.60m**
- **Market share : 51% → 53%**
- **Launching FTTH in 2005**
 - **Migrate 60% of DSL subs to FTTH by 2009**
 - **Increase ARPU to KRW 42,000 by 2009**

KT PCS 2005

- **Subscribers : 2.2m → 2.5m**
- **Focus on profit improvement**
 - **Expand EV-DO subscribers**
 - **Churn-in high end users via MNP**

WiBro

- **1st place winner in beauty contest**
 - **Proven best qualified operator**
 - **Entitled to choose most preferred bandwidth**
- **Efficient CAPEX Plan**
 - **Utilize KT's nationwide & KTF's wireless networks to minimize CAPEX**
- **Service schedule : First Mover Advantage!**
 - **Pilot service in Pusan : Nov. 2005**
 - **Commercial service : Apr. 2006**
 - **Seoul & 20 satellite cities : 2006**
 - **Nationwide coverage (84 cities) : 2010**

III-2. Minimize fixed-line revenue decline

Adopt mobile VAS to fixed voice service



- Mobile handset functions added to cordless phone
 - Launched “Ann” in Nov. 2004 / 121,695 subs (Dec.2004)



- Customized ring-back tone service
 - Launched “Ringo” in Apr. 2004 / 2.04 million subs (Dec.2004)

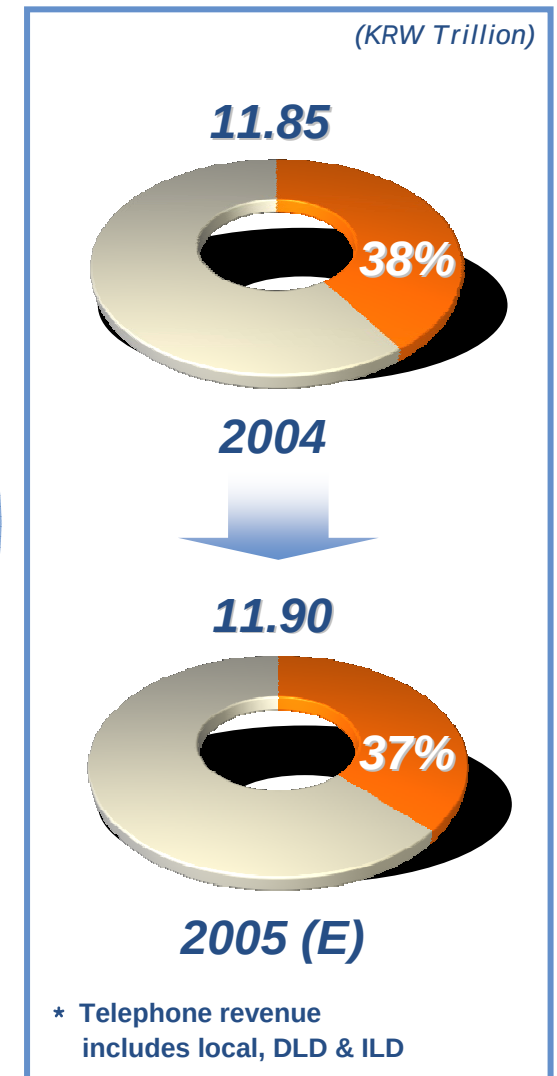
Successful response to FNP

- Successful defense in 2004 : 2% M/S loss
- Maintain 21 million fixed-line subscribers

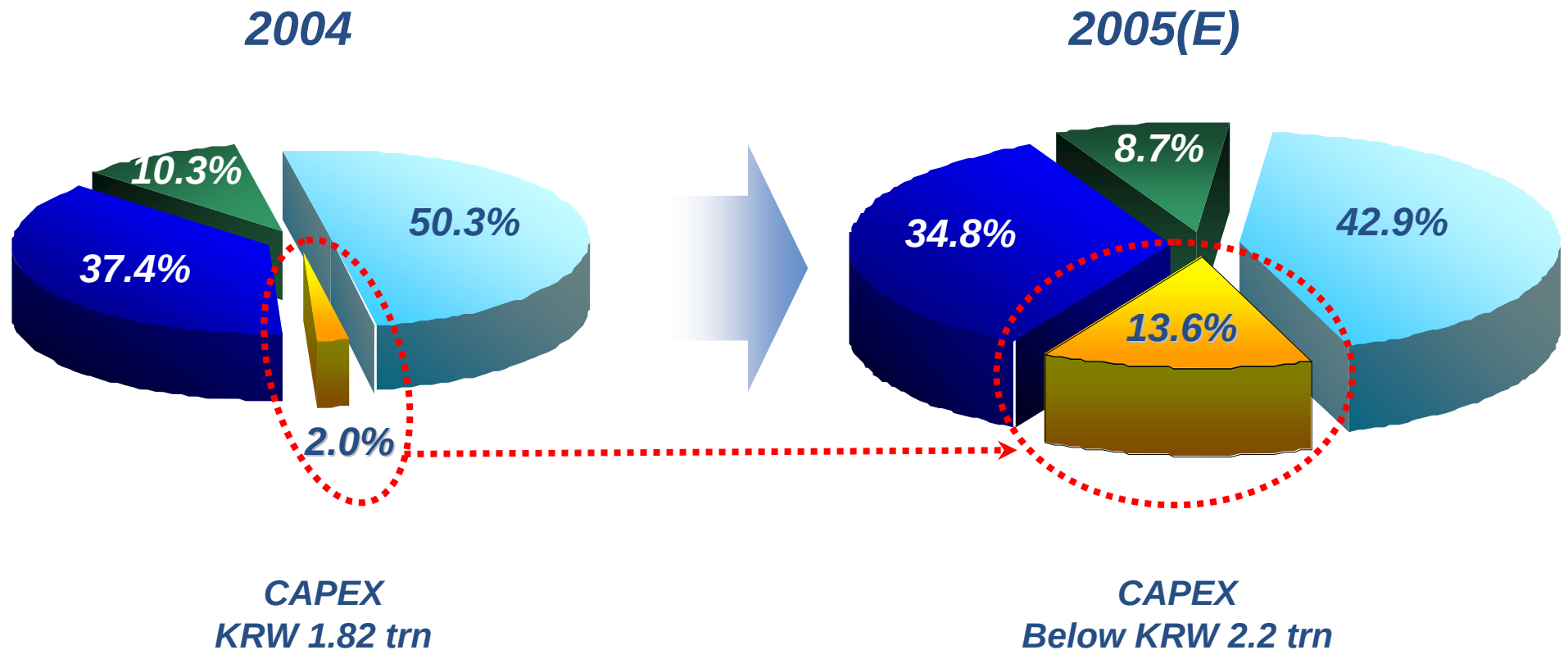
VoIP : “Ready to attack”



- Actively promote VoIP to corporate market
 - Increase corporate market share to 60% by 2007
- Leverage VoIP to increase revenue
 - Video conferencing : 30won/min, local 13won/min (2.5 times higher than regular local tariff)



III-3. Invest for future growth

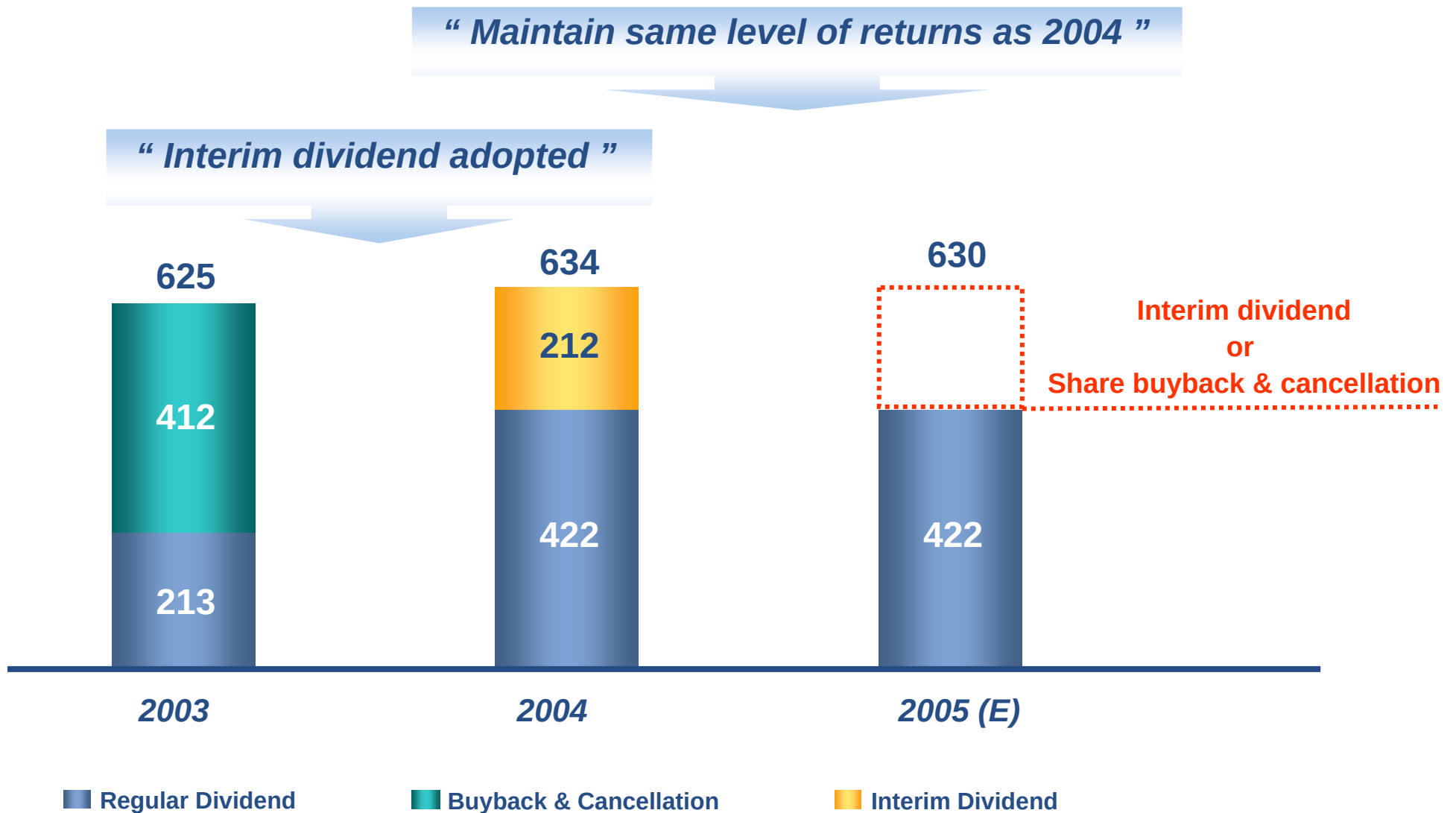


■ Business ■ Supportive (R&D, etc) ■ Infrastructure ■ New Growth business
: WiBro, Home N, IP media, BcN, FTTH, etc

III-4. 2005 Key targets

	(KRW Trillion)	
	<u>2004</u>	<u>2005 (E)</u>
Revenue	11.85	11.90
Operating profit	2.13	Over 2.1
EBITDA	4.41	Over 4.4
CAPEX	1.82	Below 2.2

III-5. Sustainable shareholder return policy



Appendix

1. Main agenda for AGM

2. WiBro

3. Advantage of FTTH

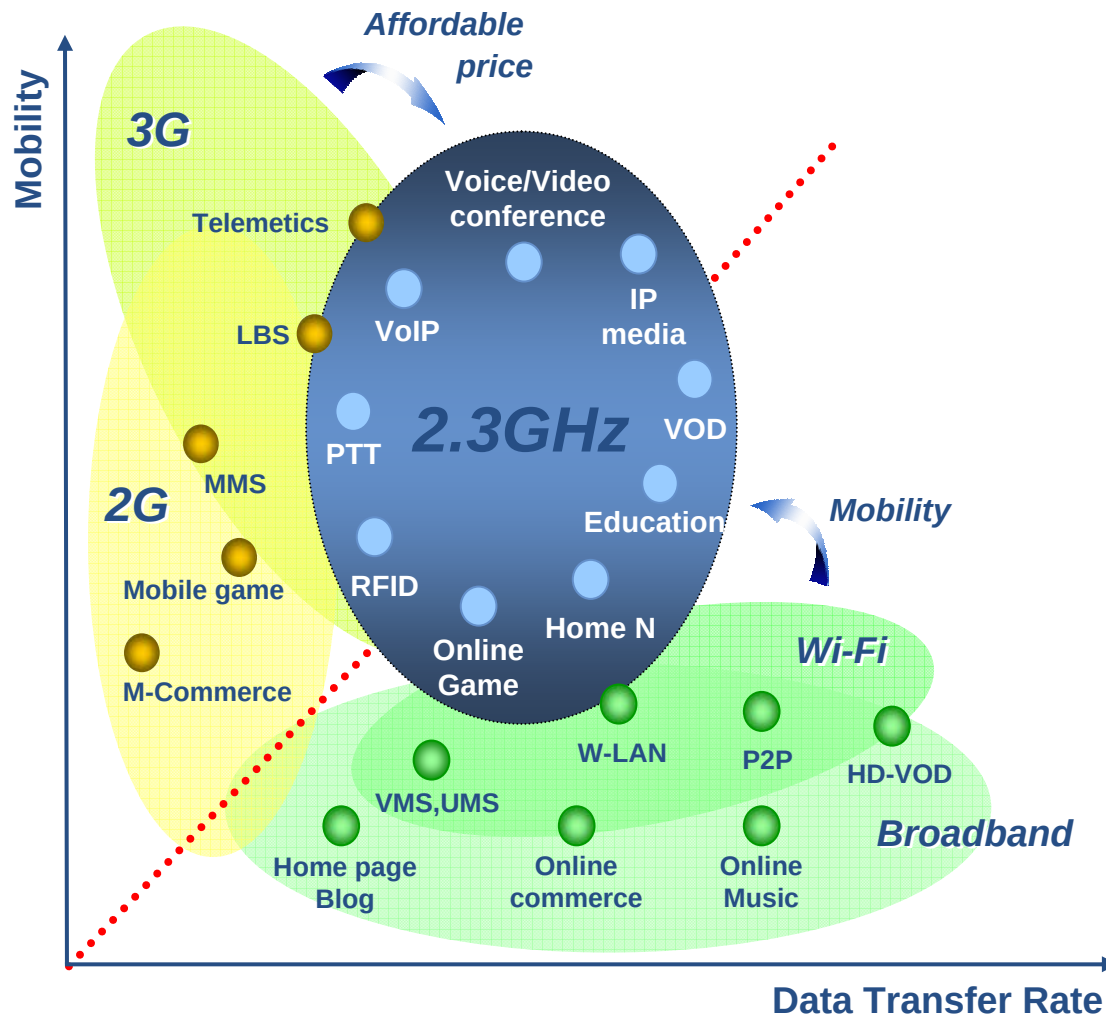
4. KTF : Growth within Growth

Appendix 1: Main agenda for AGM

- *Agenda 1 : Approval of Balance Sheet, Income Statement & Statement of Appropriation of Retained Earnings of 2004*
- *Agenda 2 : Amendment of Articles of Incorporation*
 - *Introduction of the written voting system : Exercise voting rights without attending the AGM*
- *Agenda 3 : Election of directors*
- *Agenda 4 : Approval of limit on remuneration of directors*

Appendix 2 : WiBro

Service Positioning



Why KT?

- **Largest subscriber base**
 - 6M broadband & 11.7M wireless subscribers
- **Cost advantage**
 - Utilize KT's nationwide & KTF's wireless network to minimize CAPEX
- **Total market expected : 8M by 2011**
 - KT's target market share : 40%
- **ARPU : KRW 30,000 ~ 35,000**
- **Killer application**
 - Multimedia messaging service
 - Location based service
 - IP based service (VOD, IP-media, etc)
 - Bundling service with CDMA, DMB, Broadband

Appendix 3 : Advantage of FTTH



Appendix 4 : KTF – Growth within growth

	2004	2005 (E)	Changes
Management focus	<i>Fully leverage MNP opportunity</i>	<i>Focus on profit improvement</i>	-
Subscribers	11.7M	12.3M	0.6M
<i>KT – Resale subs.</i>	<i>2.2M</i>	<i>2.5M</i>	<i>0.3M</i>
Service revenue <i>(KRW trillion)</i>	4.59	4.84	+5%
OP Margin	11.4%	14.4%	3% p
EBITDA Margin	35.2%	39%~41%	Over 3% p
CAPEX / Sales	23.1%	19.8%	-2.5% p